

and the work that we do. Our listing has enabled us to transmit our message to a vast network... and we have benefitted from the inbound interest from those who want to partner with us," he says. Shares of Creative Graphics, which listed on NSE Emerge on April 9, 2024, have advanced 227% till May 24, 2024.

Overall, more than 600 companies have raised money from SME exchanges since 2012. G. Chokkalingam, Founder of market research company Equinomics Research says, "Investors should invest in SME IPOs—the overall market cap of listed SMEs is insignificant compared to their combined GDP contribution. Therefore, this boom in SME IPOs would continue and investors should participate in it." Micro, small, and medium enterprises (MSMEs) have contributed 30% to GDP in FY22, per latest data.

BETTER DAYS FOR SMEs

The introduction of GST caused pain for MSMEs. But Kulbhushan Parashar, Founder & MD of financial services firm Corporate Capital Ventures sees a positive side to it. He says GST required businesses to adopt accurate reporting standards. "This shift has increased transparency and ensured compliance with regulatory standards, fundamentally altering the internal operations of SMEs," he says. While the government's policy mandating payments to MSMEs within 45 days has been a pain point, Parashar believes it is a step in the right direction. As of May 27, 2024, per the Udyam Registration Portal, the total number of MSMEs registered since July 2020 is 45 million (including informal micro enterprises registered on the Udyam Assist Platform). Udyam was launched by the MSME ministry in July 2020.

According to Saurabh Mukherjee, Founder and Chief Investment Officer of Marcellus Investment Managers, the past decade can be divided into two distinct phases for SMEs. The first phase—from 2012 to 2018—was marked by challenges. However, he identifies an optimistic second phase that commenced in 2021. During this period, well-organised SMEs that have enhanced their efficiency, accessed affordable working capital funding from formal lending channels, adopted UPI for transactions and utilised the internet for various aspects like sales, marketing, and fulfilment, are experiencing success.



G. CHOKKALINGAM
Founder, Equinomics Research

"Investors should choose SMEs that offer comfort in terms of both valuations and quality of balance sheet"

INVESTORS' DILEMMA

Market analysts think liquidity is a major concern in SME stocks. Chokkalingam believes sometimes governance issues are also a cause of worry. Accounting frauds unearthed by markets regulator the Securities and Exchange Board of India (Sebi), in May, pose another risk to the rally in shares of small businesses. SME exchange-listed firms Varanium Cloud and Add-Shop E-Retail were found to have manipulated their financial statements, according to initial orders issued by Sebi. Shares of Varanium Cloud and Add-Shop E-Retail have declined 48% and 24%, respectively, on a month-to-date basis till May 24, 2024.

On the other hand, market watchers believe that SMEs offer huge growth potential due to a smaller base. "A major advantage is that they open up a huge number of unique businesses or micro businesses that have solid growth potential. In contrast, large-cap stocks are concentrated in just about 10 or 12 sectors, which generally offer growth opportunities within a range due to a large base. But many SMEs offer huge growth opportunities due to a smaller base and some SMEs offer very high margins due to the unique nature of business," Chokkalingam says, adding investors should choose SMEs which offer comfort in terms of both valuations and quality of balance sheet.

EXPECTATIONS FROM SEBI

Parashar says that to strengthen the SME IPO space, Sebi can raise the minimum IPO size to ₹30 crore. Currently, there is no minimum issue size for SME issues. In FY23, jewellery firm Shoora Designs raised as little as ₹2.03 crore from the primary market. This step may ensure that companies with adequate resources and manpower enter the capital markets.

Second, he adds, Sebi should consider revising its lot size policy. A policy of early and frequent lot size revisions could increase the accessibility of SME IPOs to a wider range of investors. Reducing lot size or requiring more frequent adjustments would lower the entry barrier.

After all, exuberance in the SME IPO space will only further India's growth story and harness the immense potential that small enterprises have. **BT**

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